

D555

Advanced Financial Accounting II

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

On December 1, a U.S. company sells goods to a German customer for €100,000, payable January 15. The spot rate is \$1.10 per euro on December 1 and \$1.08 on December 31. The customer is the company's largest in Europe. What does the company report for the year ended December 31?

- A. A \$2,000 loss in other comprehensive income.
- B. A \$2,000 foreign exchange loss in net income.
- C. No gain or loss until the cash is collected.
- D. A \$2,000 foreign exchange gain in net income.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

2. [TRANSFER — reversed stem / different variable]

A U.S. company owes a Japanese supplier ¥10,000,000. The rate moves from \$0.0070 to \$0.0068 per yen before year-end. What is the effect?

- A. A \$2,000 gain.
- B. A \$68,000 gain.
- C. No effect, because payables are never remeasured.
- D. A \$2,000 loss.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

3.

A U.S. parent's Mexican subsidiary buys, sells, borrows and pays its workers mainly in pesos and operates largely on its own. The subsidiary's plant is near Monterrey and employs 600 people. How are its statements converted to dollars, and where does the resulting adjustment go?

- A. Remeasure with the temporal method; the gain or loss goes to net income.
- B. Translate with the current rate method; the adjustment goes to net income.
- C. Translate with the current rate method; the translation adjustment goes to OCI.
- D. Remeasure with the temporal method, because every subsidiary of a U.S. parent uses the dollar.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

4. [TRANSFER — reversed stem / different variable]

A foreign subsidiary's functional currency is the U.S. dollar, but it keeps its books in euros. Which method applies, and where do the resulting gains or losses go?

- A.** Remeasure with the temporal method; gains and losses go to net income.
- B.** No conversion is needed, since the functional currency is the dollar.
- C.** Translate with the current rate method; adjustments go to OCI.
- D.** Remeasure with the temporal method; gains and losses go to OCI.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A subsidiary's income statement is being translated under the current rate method. The subsidiary's CFO recently relocated from London. Which rate is generally used for revenues and expenses?

- A.** The year-end rate for every item on every statement.
- B.** The weighted-average rate for the period (or the actual rate on each transaction date).
- C.** The year-end current rate.
- D.** Historical rates.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

An airline hedges a forecasted jet-fuel purchase six months out using futures that qualify for hedge accounting. The airline flies 40 routes and just ordered new aircraft. Before the fuel is bought, where do gains and losses on the futures go?

- A.** As an adjustment to fuel inventory already on hand.
- B.** To current earnings, as in a fair value hedge.
- C.** To OCI, then reclassified into earnings when the fuel cost affects earnings.
- D.** Nowhere until the contract expires.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

In the first quarter a company earns \$2 million pretax. It estimates its annual effective tax rate at 25%, although Q1 alone would be taxed at 21% if it were a full year by itself. The company changed auditors in February. What Q1 tax expense is reported?

- A. \$125,000
- B. \$500,000
- C. \$420,000
- D. \$0 until the year-end rate is known.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A company has five operating segments with revenues (including intersegment sales) of A \$420M, B \$260M, C \$150M, D \$90M and E \$80M, for a total of \$1,000M. It opened a new headquarters in Atlanta. Using only the 10% revenue test, which segments are reportable?

- A. A, B, C and D.
- B. All five, because every segment must be reported.
- C. A and B only.
- D. A, B and C.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

Segment X has revenue of \$72M and exactly meets the 10% revenue test. What is total segment revenue?

- A. \$79.2M
- B. \$7.2M
- C. \$720M
- D. \$648M

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A listed retailer with 1,200 stores announces that its CEO has resigned effective immediately. Its fiscal year ends in January, and its 10-Q was filed last week. Which SEC filing reports this, and when?

- A.** Form 8-K within 90 days.
- B.** The next Form 10-Q.
- C.** The next Form 10-K, since only annual reports cover officer changes.
- D.** Form 8-K, generally within four business days.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

Partners X, Y and Z share profits 50/30/20. After selling all assets and paying creditors, capital balances are X \$40,000, Y \$(14,000), and Z \$20,000, with \$46,000 of cash left. Y is personally insolvent. The partnership ran three coffee shops. How much cash does X receive?

- A.** \$30,000
- B.** \$30,667
- C.** \$40,000
- D.** \$33,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

In a liquidation, partners A (60% profit share) and B (40%) absorb partner C's \$15,000 deficit. After absorbing it, A receives \$21,000. What was A's capital balance before absorbing the deficit?

- A.** \$27,000
- B.** \$36,000
- C.** \$12,000
- D.** \$30,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

On December 1, a U.S. company sells goods to a German customer for €100,000, payable January 15. The spot rate is \$1.10 per euro on December 1 and \$1.08 on December 31. ~~The customer is the company's largest in Europe.~~ What does the company report for the year ended December 31?

Target word: year-end gain or loss **Decides:** Receivable falls from \$110,000 to \$108,000.

A	Adjacent category	Transaction gains and losses go to net income; OCI is for translation.
B	Correct	The euro weakened, so the dollar value of the receivable fell \$2,000.
C	Confusion set	Receivables are remeasured at each balance sheet date.
D	Inverted operation	A weaker euro hurts a euro receivable.

2. Answer A Concept 1 • transfer

A U.S. company owes a Japanese supplier ¥10,000,000. The rate moves from \$0.0070 to \$0.0068 per yen before year-end. What is the effect?

Target word: effect on a payable **Decides:** Payable falls from \$70,000 to \$68,000.

A	Correct	Owing fewer dollars is a gain.
B	Wrong stem number	That is the new dollar balance, not the change.
C	Absolute language	Foreign-currency payables are remeasured just like receivables.
D	Inverted operation	Treats the payable like a receivable.

3. Answer C Concept 2

A U.S. parent's Mexican subsidiary buys, sells, borrows and pays its workers mainly in pesos and operates largely on its own. ~~The subsidiary's plant is near Monterrey and employs 600 people.~~ How are its statements converted to dollars, and where does the resulting adjustment go?

Target word: method and placement **Decides:** The functional currency is the peso.

A	Confusion set	That applies when the dollar is the functional currency.
B	Adjacent category	Right method, wrong placement.
C	Correct	A foreign functional currency calls for translation, with adjustments in OCI.
D	Absolute language	Functional currency depends on the subsidiary's environment, not the parent's.

4. Answer A Concept 2 • transfer

A foreign subsidiary's functional currency is the U.S. dollar, but it keeps its books in euros. Which method applies, and where do the resulting gains or losses go?

Target word: method and placement — reverse case **Decides:** Books are not in the functional currency.

A	Correct	Remeasurement into the functional currency runs through earnings.
B	Dropped element	Drops the fact that the books are kept in euros.
C	Inverted operation	That is for a foreign functional currency.
D	Adjacent category	Right method, wrong placement.

5. Answer B Concept 3

A subsidiary's income statement is being translated under the current rate method. ~~The subsidiary's CFO recently relocated from London.~~ Which rate is generally used for revenues and expenses?

Target word: rate for income statement **Decides:** Income items occur throughout the period.

A	Absolute language	Different lines use different rates.
B	Correct	The average approximates the rates when revenues and expenses occurred.
C	Adjacent category	That is the rate for assets and liabilities.
D	Confusion set	Historical rates are used for equity accounts.

6. Answer C Concept 4

An airline hedges a forecasted jet-fuel purchase six months out using futures that qualify for hedge accounting. ~~The airline flies 40 routes and just ordered new aircraft.~~ Before the fuel is bought, where do gains and losses on the futures go?

Target word: hedge accounting placement **Decides:** A forecasted transaction is a cash flow hedge.

A	Adjacent category	The hedge is of a future purchase, not existing inventory.
B	Confusion set	Fair value hedges cover existing items, not forecasted purchases.
C	Correct	Cash flow hedge results wait in OCI until the hedged item hits earnings.
D	Dropped element	Drops the requirement to carry derivatives at fair value each period.

7. Answer B Concept 5

In the first quarter a company earns \$2 million pretax. It estimates its annual effective tax rate at 25%, although Q1 alone would be taxed at 21% if it were a full year by itself. ~~The company changed auditors in February.~~ What Q1 tax expense is reported?

Target word: interim tax expense **Decides:** Use the estimated annual effective rate.

A	Inverted operation	Divides the quarter's tax by four again.
B	Correct	$\$2,000,000 \times 25\% = \$500,000$.
C	Confusion set	Uses a standalone quarterly rate instead of the annual estimate.
D	Dropped element	Interim periods must report tax using the best annual estimate.

8. Answer D Concept 6

A company has five operating segments with revenues (including intersegment sales) of A \$420M, B \$260M, C \$150M, D \$90M and E \$80M, for a total of \$1,000M. ~~It opened a new headquarters in Atlanta.~~ Using only the 10% revenue test, which segments are reportable?

Target word: reportable segments **Decides:** Threshold is \$100M.

A	Dropped element	Drops the threshold and just takes the four largest.
B	Absolute language	Only segments passing a 10% test (or needed for the 75% test) are reportable.
C	Adjacent category	Uses a 25% cutoff instead of 10%.
D	Correct	Each is at least 10% of \$1,000M.

9. Answer C Concept 6 • transfer

Segment X has revenue of \$72M and exactly meets the 10% revenue test. What is total segment revenue?

Target word: solve for total **Decides:** $\$72M = 10\%$ of total.

A	Adjacent category	Adds 10% to X's revenue.
B	Inverted operation	Multiplies by 10% instead of dividing.
C	Correct	$\$72M / 0.10 = \$720M$.
D	Dropped element	Leaves X out of the total.

10. Answer D Concept 7

A listed retailer with 1,200 stores announces that its CEO has resigned effective immediately. Its fiscal year ends in January, and its 10-Q was filed last week. Which SEC filing reports this, and when?

Target word: form and timing **Decides:** A major current event.

A	Confusion set	Confuses the 8-K deadline with annual report filing windows.
B	Adjacent category	Periodic reports are too slow for major current events.
C	Absolute language	Officer changes trigger a current report.
D	Correct	Officer departures are 8-K events with a short deadline.

11. Answer A Concept 8

Partners X, Y and Z share profits 50/30/20. After selling all assets and paying creditors, capital balances are X \$40,000, Y \$(14,000), and Z \$20,000, with \$46,000 of cash left. Y is personally insolvent. The partnership ran three coffee shops. How much cash does X receive?

Target word: X's final cash **Decides:** X and Z absorb Y's deficit 50:20.

A	Correct	$X \text{ absorbs } 5/7 \times \$14,000 = \$10,000; \$40,000 - \$10,000 = \$30,000$.
B	Confusion set	Splits the deficit by capital balances instead of the profit ratio.
C	Dropped element	Ignores Y's deficit.
D	Adjacent category	Splits the deficit equally.

12. Answer D Concept 8 • transfer

In a liquidation, partners A (60% profit share) and B (40%) absorb partner C's \$15,000 deficit. After absorbing it, A receives \$21,000. What was A's capital balance before absorbing the deficit?

Target word: solve for prior capital **Decides:** A absorbed $60\% \times \$15,000 = \$9,000$.

A	Adjacent category	Uses B's 40% share instead of A's 60%.
B	Dropped element	Adds back the whole deficit, dropping B's share.
C	Inverted operation	Subtracts the absorbed deficit instead of adding it back.
D	Correct	$\$21,000 + \$9,000 = \$30,000$.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	7	
Wrong stem number	A figure copied from the prompt that is not the answer.	1	
Adjacent category	The right idea in the wrong bucket.	10	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	6	
Absolute language	Always, never, guarantee — where judgment applies.	5	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	0	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Foreign currency transaction gains and losses	Receivables and payables in a foreign currency are remeasured at the spot rate on each balance sheet date; the change is a gain or loss in net income.	Waiting until settlement, or getting the direction wrong for a payable.	An amount in foreign currency with two spot rates and a year-end in between.
2	Translation vs. remeasurement	The functional currency decides the method: if it is the foreign currency, translate with the current rate method and send the adjustment to OCI; if it is the dollar, remeasure with the temporal method and send the gain or loss to net income.	Pairing the current rate method with net income or the temporal method with OCI.	Where the subsidiary buys, sells, borrows and pays workers.
3	Current rate method rates	Assets and liabilities at the current (year-end) rate; revenues and expenses at the weighted-average rate; equity at historical rates.	Translating the income statement at the year-end rate.	Which rate for which statement line.
4	Fair value vs. cash flow hedges	Fair value hedge gains and losses go to earnings with the hedged item; cash flow hedge gains and losses go to OCI and are reclassified when the hedged transaction affects earnings.	Running a hedge of a forecasted purchase through current earnings.	A forecasted transaction vs. an existing asset or firm commitment.
5	Interim income taxes	Interim tax expense uses the estimated annual effective tax rate applied to year-to-date income.	Using a standalone quarterly rate or dividing annual tax by four.	A quarter's pretax income and an estimated annual rate.
6	Segment 10% tests	An operating segment is reportable if its revenue (including intersegment), profit or loss, or assets is at least 10% of the combined total.	Using the wrong cutoff or reporting every segment.	A list of segment revenues and a total.
7	SEC reporting forms	Form 10-K is annual and audited; Form 10-Q is quarterly and reviewed; Form 8-K reports major current events, generally within four business days.	Waiting for the next periodic report to disclose a major event.	A sudden event such as an officer departure or acquisition.
8	Partnership liquidation deficits	If a partner with a capital deficit cannot pay, the other partners absorb it in their relative profit-and-loss ratio.	Ignoring the deficit, or sharing it equally or by capital balances.	A negative capital balance and an insolvent partner.

Course scope (public description): Advanced Financial Accounting II builds upon the topics covered in D554: Advanced Financial Accounting I. It provides students with a deeper understanding of advanced financial accounting topics such as foreign currency transactions, hedging, annual and interim reporting, and partnership accounting. This course will equip students with the necessary skills to prepare essential accounting records for

partnerships, translate foreign currency financial statements, and explain reporting requirements for the U.S. Securities and Exchange Commission (SEC).